

7-1c Interest Rates and Money Supply

While the PPP theory suggests the long-run direction of exchange rate movement, what about the short run? In the short run, variations in interest rates have a powerful effect. If one country's interest rate is high relative to other countries, then the country will attract foreign funds (see the [Closing Case](#) on Brazil). Because inflows of foreign funds usually must be converted to the home currency, a high interest rate will increase the demand for the home currency, thus enhancing its exchange value.

In addition, a country's rate of inflation, relative to that prevailing abroad, affects its ability to attract foreign funds and, hence, its exchange rate. A high level of inflation is essentially too much money chasing too few goods in an economy—technically, an expansion of a country's money supply. A government, when facing budgetary shortfalls, may choose to print more currency, which tends to stimulate inflation. In turn, this would cause its currency to depreciate. This makes sense because as the supply of a given currency increases while the demand stays the same, the per-unit value of that currency goes down. For example, the policy of “quantitative easing” (a euphemism for printing a large amount of money) is one of the reasons behind the recent decline of the value of the US dollar. In short, the exchange rate is very sensitive to changes in monetary policy. It responds swiftly to changes in money supply. To avoid losses, investors sell assets denominated in the depreciating currency for assets denominated in other currencies. Such massive sell-offs often worsen the depreciation.